

application → context link

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Philip Flop (PF)

Philip started PF 10 years ago as a sole trader in country X. PF makes shoes out of natural rubber. Philip used \$100 000 of his own money to start up PF. The business has been very successful. Last year Philip changed PF from a sole trader business to a private limited company because he wanted to grow the business.

expand

time rate

PF employs 20 workers to make the shoes. They are paid a weekly wage based on the number of hours worked. Philip often has to recruit new production workers as the jobs are boring. Other local businesses pay a higher wage for similar work. Philip needs to improve the motivation of PF's employees and has to decide the best way to do this.

expansion → ⊖

cost ↑

⊖

Philip wants to build a new factory. This factory will produce a new range of shoes. PF's products will still be made from natural rubber which is grown in the local area. The bank has agreed to provide a loan to finance the building of the new factory.

⊕

⊕

⊖ interest

cost ↑

Philip needs to choose a suitable location for the new factory and is considering the following factors:

- availability of raw materials ✓
- transport links ✓
- government influence. ✓

Advertisement cost ↑

PF operates in a very competitive market. Philip will need to make a decision about how to promote the new range of shoes in a mass market.

→ large number of sale.

Philip's sister is a successful entrepreneur and is considering investing in PF. She is using the extracts from PF's statements of financial position, shown in Appendix 3, to help her decide.

Appendix 1

Advertisement for PF's shoes



✓ Natural rubber from local forests is used in the production of all our shoes.

ethical ⊕

We use sustainable sources of raw materials unlike our competitors which use imported artificial rubber.

Buy your first pair today and you will never buy a different brand again!

customer loyalty!

brand image.

repetitive sales.

Appendix 2

Newspaper article from Main News in country X, 2 April 2025

The government is increasing tax rates on people's incomes and on business profits.

The tax on people's incomes will increase by 2% and the tax on profits made by businesses will increase by 4%. These increases will be introduced next month.

No further tax increases are planned.

Appendix 3

Extract from PF's statements of financial position \$000

		2025	2026 (forecast)	
Non-current assets	→	500	1000	NCA ↑
✓ Current assets	⊕	50	60	CA ↑
✓ Inventories (included in current assets)		10	30	↑
✓ Current liabilities	⊖	40	50	↑
Bank loans	⊕	40	500	↑ 460
Retained profit	→ ⊕	60	100	↑ 40

2025 Ratios: current ratio = $\frac{\text{current asset}}{\text{curr liab}}$

2025
1.25:1

$$2025: \frac{50}{40} = 1.25$$

acid test ratio = $\frac{\text{current asset} - \text{inv}}{\text{CL}}$

2026
1.2:1

$$2025: \frac{50 - 10}{40} = 1$$

2025
1:1

$$2026: \frac{60 - 30}{50} = 0.6$$

2026
0.6:1



- 1 (a) Explain **two** advantages and **two** disadvantages to Philip of changing PF from a sole trader business to a private limited company.

②

Advantage 1: It will create limited liability for PF which means his original investment of \$100000 and the personal property are safe.

application →

Advantage 2: It will increase the capital of the business, which means funds will rise, resulting in higher investment and PF will be able to grow his business. → app.

②

Disadvantage 1: PF would have to pay higher dividends from the manufacture of rubber shoes, resulting in lower profits for the growth of business.

②

Disadvantage 2: The owner may not be able to make decisions, such as where to locate the new factory.

②

[8]



- (b) Using Appendix 3 and other information, consider PF's financial position in 2025 and forecast financial position in 2026. Do you think Philip's sister should invest in PF? Justify your answer using suitable calculations.

2025: The current ratio for 2025 is 1.25:1, which is a positive situation for PF. The acid test ratio is 1:1, which increases the chances of liquidity problems in future. Moreover, the retained profit is \$60, which means the company is able to pay off the debts and can grow further in future.

2026 (forecast): The current ratio for 2026 is lower than 2025, which shows that PF is expending and might face cashflow problems in future. Moreover, the acid test ratio is 0.6:1, which shows that PF isn't in a good situation & is facing liquidity problems. Furthermore, the Bank loan has increased by \$460, which shows that PF has to pay higher interest rate.

Recommendation: Philip's sister should invest in PF, cause the retained profit is increasing by \$40, which shows that PF is earning a potential revenue. Moreover, the bank has trusted PF, which means the b.s is able to expend in longterm & is able to pay back the loan, thus it shows that Philip's sister can easily invest/trust in the PF b.s.

[12]

